

markable transformation. By 8:00 P.M. that same night, he called me at home with a stock he suddenly felt qualified to recommend. "Special situation," he said. "Zayre's at \$27." As of this writing, Zayre's had split twice and had risen to the equivalent of \$44 a share. I'm sorry I didn't listen to him.

From Sears I spread out across town, visiting as many other brokers as I could in two days. At one Merrill Lynch, I was threaded through the cubicles and introduced to Jim Clayton, a middle-aged athletic type who'd been in the market for 20 years. He advised against buying most stocks, since he doubted the prices could go much higher. For a client like me, he said he'd recommend a Nuveen bond fund, some overseas funds, or a few utilities that paid good dividends.

I'd begun to think it's a rare stockbroker who recommends a stock these days. On my visits, most preferred to sell what they called "products"—either mutual funds, limited partnerships, or real estate trusts. Several times, I was handed expensive, full-color brochures that explained these complex investments. These brochures were as thick as college catalogs, and in some cases must have cost more to print than an average share in the product was worth.

Among the products brought to my attention was a "leveraged real estate rental-property partnership"; an energy income partnership; a partnership in the Lorimar film company introduced at the screening of a new Lorimar film, *Power*; an Australian bond fund; and a "preferred futures fund." A common element in these diverse opportunities was the substantial sales charge, often as high as 7 percent. I didn't do a national survey, but my own experience gives me confidence in Useful Tip Number Eight:

---

**The first thing the broker recommends will make him the highest commission**

---

From Merrill Lynch I wandered into the nearest Paine Webber and visited their broker of the day, Bob Klein. He wore an expensive-looking shirt and tasteful but expensive-looking jewelry, and could have been mistaken for a high-class lawyer.